

# VWAP Continuation

## Why the VWAP Continuation trade works:

- An in-play stock will often make a strong move in the morning that will attract profit taking from momentum traders
- This selling can drop the stock into VWAP where institutional participants will be looking to buy
- We will wait for this buying to overwhelm the selling and look to get long for a continuation of the morning strength

## Entry Rules (inverted rules for the short side):

- Enter near VWAP after a trendline break or a range break

## Stop Loss Rules:

- The stop should be placed just below VWAP

## Exit Rules:

- This is a trending trade so we will sell half into the high of the day and trail the rest with the 21 EMA on the 1-minute chart

## Factors that increase the probability of this trade working:

- A strong market
- A breakout of a technical level
- A changing fundamentals catalyst

## Factors that decrease the probability of this trade working:

- A weak market
- A rejection of an important resistance level
- A weak or uneventful catalyst

## The ideal times of day to take this trade:

- Late morning (10 AM - 11 AM)
- Mid-day (11 AM - 2 PM)

When do we avoid this trade entirely?:

- We will avoid this trade entirely if the opening auction was choppy and/or not definitive

